Equity Research

Earnings Revised — July 21, 2026

U.S. Software

Check Point Software Technologies Ltd.

2Q Preview—Achievable Setup but Not Looking for Much Upside

Equal Weight
Price Target: $140.00

Notable Changes			
$ (Dec)	**Current**	**Prior**	**% Chg**
Rev. (MM) 2026	2.81B	2.81B	0.0% ▲
Rev. (MM) 2027	2.97B	2.97B	0.0% ▲
EPS 2026	10.43	10.42	0.1% ▲
EPS 2027	11.47	11.46	0.1% ▲

Ticker	CHKP
Upside/(Downside) to Target	**7.3%**
Price (07/21/2026)	**$130.46**
52 Week Range	$112.23 - 225.23
Market Cap (MM)	$13,842
Average Daily Value (MM)	$204
Dividend Yield	0.0%

$ (Dec) Rev. (MM)	Q1	Q2	Q3	Q4	FY
2026E	668.4 A	675.6 E	696.1 E	769.7 E	2.81B E
Prior	NC	676.1 E	694.0 E	769.9 E	2.81B E
2027E	702.3 E	716.7 E	738.9 E	815.3 E	2.97B E
Prior	700.9 E	716.5 E	737.5 E	817.8 E	2.97B E

3 Yr EPS CAGR from current year (unless otherwise noted): 3 Yr CAGR reflects our FCF estimates Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

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Our Call

We believe CHKP can meet a lowered bar following 1Q's miss & guide down. While the multiple is undemanding, we remain sidelined as our 2Q checks indicated moderating demand QoQ, a smaller renewal base in 2026 & mixed feedback on emerging products.

Mixed checks as partners highlight high renewal rates but fewer renewals in 2026. Several of our checks noted CHKP's installed base remains loyal with no signs of chg in renewal rates. However, several noted structurally smaller renewal cohort following Quantum refreshes in '24-'25 & muted new logos. Also, multiple highlighted heavier discounting, offsetting price increases (sometimes at the expense of partners' margin). Overall, both our survey & checks noted QoQ moderation in demand/growth.

Inconsistent feedback on emerging products (Email, SASE, Cyberint), modest down-tick from last quarter. While technical feedback on Email remains consistently positive, a couple partners noted slowdown in demand/deals & Proofpoint's competitive positioning improving. A handful of partners called CHKP's open-garden strategy into question, as they look for more upsell beyond Email, with modest SASE traction (unchanged QoQ) and Cyberint/Lakera integration/awareness still in the early stages.

Expect a largely in-line 2Q, when go-to-market changes were most disruptive. Recall, in 1Q, CHKP unevenly executed GTM changes with delayed account assignments and commission targets, midmarket accounts offloaded to the channel & a dedicated new logo team. The bulk of the impact is expected in 2Q (impacted pipeline build), hence we would temper expects for much upside to the guide midpoint (implies ~1.5-2% growth). We model Product down 17% YoY and billings down 1% YoY (in-line with 1Q).

Usually leaves FY guide unchanged in 2Q; expect history repeats, especially given tougher compares. Given mixed checks, tougher compares & noise around GTM changes, we expect FY guidance holds at ~3% YoY revs growth, despite more recent commentary around pipeline improving. Per our analysis below (triangulating disclosures), we believe guidance assumes Non-Emerging Products (~88% of revs) down LSD YoY (vs. up ~4% in 2025) and Emerging Products (~12% of revs) up 35-40% YoY (vs. >40% YoY TTM).

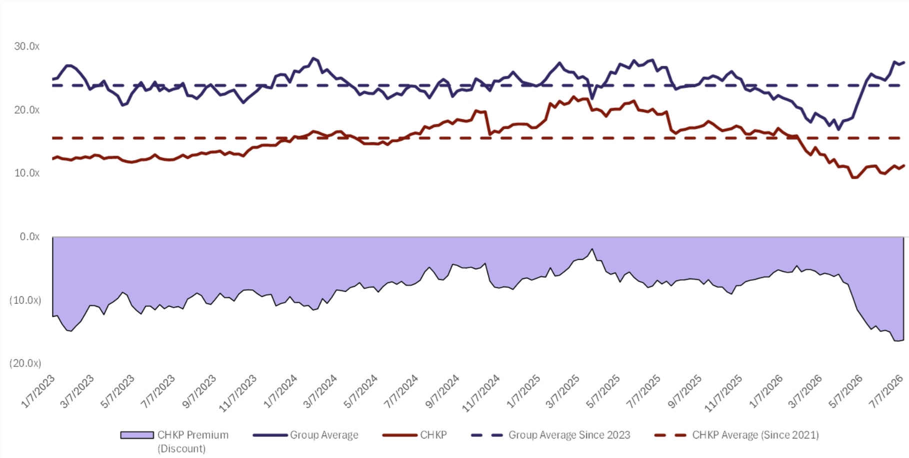
Exhibit 1 - Emerging vs. Non-Emerging Revenue

	Fiscal 2025				Fiscal 2026			
($ in millions, unless otherwise stated)	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26E	Sep-26E	Dec-26E
Non-Emerging Products Total Revenue	574	598	607	658	578	581	599	652
YoY %	4%	3%	4%	3%	1%	(3%)	(1%)	(1%)
% of Total Revenue	90%	90%	90%	88%	87%	86%	86%	85%
Product/License and Maintenance Revenue	347	367	372	420	345	343	354	405
YoY %	4%	3%	4%	2%	(1%)	(7%)	(5%)	(3%)
% of Total Revenue	54%	55%	55%	56%	52%	51%	51%	53%
Other Subscription Revenue (Attached)	226	231	235	238	233	239	245	247
YoY %	4%	3%	4%	4%	3%	4%	4%	4%
% of Total Revenue	36%	35%	35%	32%	35%	35%	35%	32%
Emerging Products Revenue	64	67	71	87	90	94	97	117
YoY %	38%	40%	40%	40%	40%	40%	38%	35%
% of Total Revenue	10%	10%	10%	12%	13%	14%	14%	15%

Source: Wells Fargo Securities, LLC estimates, Company reports

Ultimately, while shares look inexpensive, having not participated in much of the cybersecurity run since our launch, we struggle to see a catalyst for a more meaningful re-rating absent a product cycle or more scaled growth engines. As such, we keep our Equal Weight rating and $140 price target based on ~11x our Fwd NTM estimates, a discount to the peer group average justified by a lower growth profile and more limited room for margin expansion. Shares currently trade at ~11x NTM estimates.

Exhibit 2 - EV/FCF CHKP vs. Peer Group



Source: Wells Fargo Securities, LLC and FactSet

Group: CHKP, FTNT, CSCO, PANW, IBM, OKTA, ZS, FFIV

Wells Fargo Express Takeaways

Check Point Software Technologies Ltd. (CHKP) | Rating: Equal Weight | Price Target: $140.00
Analyst: Richard Poland

Financials

FY (Dec) $ ESTIMATES	2025A	2026E	2027E
Rev. (MM)			
Q1	637.8 A	668.4 A	702.3 E
Q2	665.2 A	675.6 E	716.7 E
Q3	677.5 A	696.1 E	738.9 E
Q4	744.9 A	769.7 E	815.3 E
AN	2.73B A	2.81B E	2.97B E
EPS	11.89 A	10.43 E	11.47 E
FCF (MM)	1,207.6 A	1,179.7 E	1,237.0 E
EBIT (MM)	1,113.9 A	1,129.8 E	1,202.2 E

WELLS FARGO vs. CONSENSUS			
Consensus Estimate	1,148.15 A	1,180.77 E	1,256.14 E
Difference from Consensus		2.7%	4.8%

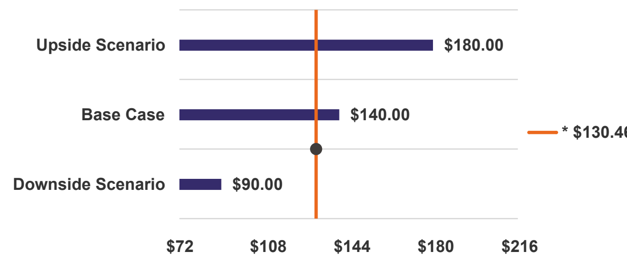
VALUATION			
P/E	11.0x	12.5x	11.4x

Consensus Estimate: FCF ($MM); Source: FactSet.
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

Check Point is a storied cybersecurity franchise at a genuine pot'l inflection point, trying something it hasn't done in a long time —prioritizing growth > margins. However, cultural change bears execution risk and takes time. We rate shares Equal Weight.
Key Points include: 1) Quantum refresh could prove a temporary catalyst, and 2) placing more focused bets beyond firewall, which is paying off.

Risk vs. Reward – Upside/Downside Price Target Scenarios



**As of 07/21/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $140.00

- Our price target of $140 is based on an EV/FCF multiple of ~11x our Fwd NTM estimates.
- Our target multiple is below the peer group average of the high-teens, which we believe is justified as we put more weight on lower revenue growth assumptions and impacts to FCF expansion.

Upside Scenario | $180.00

- In this upside scenario, we assume CHKP generates ~$1.4B of FCF in CY27, and shares move higher as CHKP benefits from a product refresh cycle and improving subscription revenue growth, which would result in the multiple re-rating higher.
- We see upside to $180 based on an EV/FCF multiple of ~14x our CY27 downside scenario estimates.

Downside Scenario | $90.00

- In this downside scenario, we would expect downward pressure on free cash flow estimates to ~$1.1B in CY27 as competition and execution concerns surface, resulting in the multiple slightly compressing from current levels.
- We see downside to $90 based on an EV/FCF multiple of ~8x our CY27 upside scenario estimates.

Upcoming Catalysts

- Upcoming catalysts include any change in key metrics, such as billings and product and subscription revenue growth.
- SASE and Email Security demand trends continue to accelerate.
- New M&A opportunities that augment growth.

Company Description

Check Point Software Technologies Ltd. provides a range of software, hardware, and services for securing networks and gateways, data, and endpoints, all unified under a single management framework. The company offers security solutions for network, endpoint, applications and data like firewall, virtual private network (VPN), intrusion prevention system (IPS), Data Loss prevention, anti-virus, policy management, event analysis, Application Control, URL Filtering and antibot.

Takeaways from Recent Field Work

- **Overall Results: performance vs. plan declines for a fourth consecutive quarter, now more in-line with 2024 levels.** Of the 28 CHKP resellers in our survey, 10 finished above plan (36%), 4 finished below (14%) and 14 finished in-line (50%). On a revenue-weighted basis, results were fairly similar (shown below). We note the sample size was smaller than recent quarters, contributing to a sample-size adjusted net score of 4.2, down from 6.3 last quarter (12+ in the preceding two quarters) and 8.8 a year ago. We note results were relatively consistent across both large and small resellers. **Channel growth rates were mixed, most pointing to slowdown in 2Q.** We spoke to nine partners, both small practices (few million) and large (>$50M). A couple we spoke to highlighted mid single-digit growth, relatively stable; a couple noted a slowdown towards low single-digit or flat growth; and a couple saw YoY declines (one stood out with a meaningful decline but due to significant pull-in in 1Q). In our view, it was surprising to hear most partners lacked awareness of internal changes (a few did note new channel account managers).

- **Core firewall appliances demand slips a touch.** On an equal-weighted and revenue-weighted basis, demand was 7% net above plan, a moderation vs. 13% last quarter. **Mature installed base remains durable.** Several checks highlighted CHKP's loyal installed base and high renewal rates (a couple cited 95%+). One partner referenced large financial services and energy customers that are unlikely to move given deeply embedded policy workflows and a "set it and forget it" firewall system. **However, a few partners did cite a notably smaller expiration / refresh base in 2026 relative to prior years and perhaps pulled forward by Quantum product launches. A few partners noted heavier discounting (offsetting recent price increases) and muted new logo activity.** While the installed base appears sticky and partners commended CHKP's clear communication around price increases, several noted that the recent price increases were offset by heavier discounting. At times, this was at the expense of partners' margins (a few partners expressed mild frustration). New logo commentary was similarly muted; while partners do not categorize CHKP as a share donor due to the stickiness of the installed base, they do not see them actively involved in new business. One partner described CHKP as "no meaningful customers gained or lost" and called the business "status quo".

- **Rest of portfolio: sequential change in survey data mixed by product (SASE -ve, Email =).** CHKP ranked sixth in net share momentum at +8%, trailing most major competitors. This was unchanged from our 12Q6 (March) survey despite slippage from nearly every vendor, except PANW and NET. Additionally, SASE demand was +14% net above expectations, relatively in-line with the average since we started tracking in 12Q5 and down from +20% net last quarter. Email Security was roughly stable at +15% (vs. +14% last quarter and +19% the quarter prior) and only 9% of respondents ranked Email a top three spend priority (second lowest of all categories). Cyberint (new to tracking) demand was -5% net, although it is our first time tracking and ~17% opted not to respond (indicated lower awareness). **Channel conversations indicate moderating Email demand and portfolio lacking a coherent growth identity.** A couple partners we spoke to called into question CHKP's "open-garden" strategy with one articulating "it is neither a full network specialist nor scaled enough in adjacent areas to be considered a platform company." Most partners we spoke to saw minimal activity in SASE, with competitive positioning consistent with our survey data. Importantly, while some partners view Email and Lakera as potential new front doors, it has yet to pull customers into the rest of the portfolio and one large partner down-ticked on Email, describing momentum as moderating with less activity than a year ago. Interestingly, two partners we spoke to said Proofpoint's competitive positioning has improved. **Other assets viewed as optionality rather than a growth engine anytime soon**. Lakera continues to receive positive technical comments. Cyberint also broadens the portfolio. Partners do not yet view those assets as integrated deeply enough to meaningfully change CHKP's commercial identity or produce meaningful revenue.

Bottom-line: The installed base remains very sticky, yet our checks indicate there is some evidence of a structurally smaller renewal/refresh cohort than prior years and challenges to pricing power. While CHKP is not losing share, partners indicate new logos are few and far between and in some cases, new business (i.e., new firewall use cases + expansion) is equally hard to find. Leadership/strategy changes require patience; partners are not yet buying into the open-garden approach as they increasingly look for opportunities to expand beyond Email, with SASE feedback mixed and Cyberint/Lakera integration/awareness early stages.

Exhibit 3 - Revenue Performance vs. Guidance

	Fiscal 2023				Fiscal 2024				Fiscal 2025				Fiscal 2026			
($ in millions, unless otherwise stated)	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26E	Sep-26E	Dec-26E
Quarterly Revenue Guidance																
Quarterly (Low End)	545	570	570	636	575	607	615	675	619	642	657	724	655	660		
Quarterly (High End)	585	605	605	686	610	637	650	715	649	682	687	764	685	690		
Quarterly (Midpoint)	565	588	588	661	593	622	633	695	634	662	672	744	670	675		
Actual Results	**566**	**589**	**596**	**664**	**599**	**627**	**635**	**704**	**638**	**665**	**678**	**745**	**668**			
$ Above/(Below) Midpoint of Guidance	1.2	1.2	8.8	2.5	6.3	5.4	2.6	8.7	3.8	3.2	5.5	0.9	(1.6)			
% Above/(Below) Midpoint of Guidance	**0.2%**	**0.2%**	**1.5%**	**0.4%**	**1.1%**	**0.9%**	**0.4%**	**1.3%**	**0.6%**	**0.5%**	**0.8%**	**0.1%**	**(0.2%)**			
Annual Revenue Guidance																
Annual (Low End)	2,340	2,340	2,340	2,387	2,475	2,475	2,475	2,536	2,660	2,660	2,660	2,705	2,830	2,770		
Annual (High End)	2,510	2,510	2,510	2,437	2,625	2,625	2,625	2,576	2,760	2,760	2,760	2,745	2,950	2,850		
Quarterly (Midpoint)	2,425	2,425	2,425	2,412	2,550	2,550	2,550	2,556	2,710	2,710	2,710	2,725	2,890	2,810		
Actual Results				**2,414.7**				**2,565.0**				**2,725.4**				
Guide Up / (Down)		-	-	(13.0)		-	-	6.0		-	-	15.0		(80.0)		
Quarter Beat / (Miss)		1.2	1.2	8.8		6.3	5.4	2.6		3.8	3.2	5.5		(1.6)		
Rest of Year Implied Change		(1.2)	(1.2)	(21.8)		(6.3)	(5.4)	3.4		(3.8)	(3.2)	9.5		(78.4)		
$ Above/(Below) High End of Guidance				(10.3)				15.0				15.4				
% Above/(Below) High End of Guidance				**-0.4%**				**0.6%**				**0.6%**				

Source: Wells Fargo Securities, LLC and FactSet

Financials

Check Point Software
Revenue Build

	Fiscal 2024				Fiscal 2025				Fiscal 2026				Fiscal 2027				Fiscal 2028									
($ in millions, unless otherwise stated)	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26E	Sep-26E	Dec-26E	Mar-27E	Jun-27E	Sep-27E	Dec-27E	Mar-28E	Jun-28E	Sep-28E	Dec-28E	FY23	FY24	FY25	FY26E	FY27E	FY28E
Total Revenue	**598.8**	**627.4**	**635.1**	**703.7**	**637.8**	**665.2**	**677.5**	**744.9**	**668.4**	**675.6**	**696.1**	**769.7**	**702.3**	**716.7**	**738.9**	**815.3**	**745.8**	**760.7**	**783.3**	**862.4**	**2,414.7**	**2,565.0**	**2,725.4**	**2,809.8**	**2,973.3**	**3,152.1**
YoY %	*5.8%*	*6.6%*	*6.5%*	*6.1%*	*6.5%*	*6.0%*	*6.7%*	*5.9%*	*4.8%*	*1.6%*	*2.7%*	*3.3%*	*5.1%*	*6.1%*	*6.2%*	*5.9%*	*6.2%*	*6.1%*	*6.0%*	*5.8%*	*3.6%*	*6.2%*	*6.3%*	*3.1%*	*5.8%*	*6.0%*
YoY $	*32.6*	*38.7*	*38.8*	*40.2*	*39.0*	*37.8*	*42.4*	*41.2*	*30.6*	*10.4*	*18.6*	*24.8*	*33.9*	*41.2*	*42.8*	*45.6*	*43.5*	*43.9*	*44.4*	*47.1*	*84.8*	*150.3*	*160.4*	*84.4*	*163.5*	*178.9*
QoQ %	*(10%)*	*5%*	*1%*	*11%*	*(9%)*	*4%*	*2%*	*10%*	*(10%)*	*1%*	*3%*	*11%*	*(9%)*	*2%*	*3%*	*10%*	*(9%)*	*2%*	*3%*	*10%*	—	—	—	—	—	—
QoQ $	32.6	38.7	38.8	40.2	39.0	37.8	42.4	41.2	30.6	10.4	18.6	24.8	33.9	41.2	42.8	45.6	43.5	43.9	44.4	47.1	—	—	—	—	—	—
Management Quarterly Guidance																										
Low	**575.0**	**607.0**	**615.0**	**675.0**	**619.0**	**642.0**	**657.0**	**724.0**	**655.0**	**660.0**											**2,387.0**	**2,536.0**	**2,705.0**	**2,770.0**		
Mid	**592.5**	**622.0**	**632.5**	**695.0**	**634.0**	**662.0**	**672.0**	**744.0**	**670.0**	**675.0**											**2,412.0**	**2,556.0**	**2,725.0**	**2,810.0**		
High	**610.0**	**637.0**	**650.0**	**715.0**	**649.0**	**682.0**	**687.0**	**764.0**	**685.0**	**690.0**											**2,437.0**	**2,576.0**	**2,745.0**	**2,850.0**		
Revenue by Type																										
Product and License	**100.3**	**118.1**	**118.9**	**170.6**	**114.1**	**131.9**	**130.4**	**171.8**	**110.8**	**109.5**	**114.8**	**159.8**	**108.6**	**111.7**	**117.0**	**163.0**	**110.8**	**113.9**	**119.4**	**166.2**	**497.4**	**507.9**	**548.2**	**494.8**	**500.3**	**510.3**
YoY %	*(7.1%)*	*1.0%*	*4.1%*	*7.8%*	*13.8%*	*11.7%*	*9.7%*	*0.7%*	*(2.9%)*	*(17.0%)*	*(12.0%)*	*(7.0%)*	*(2.0%)*	*2.0%*	*2.0%*	*2.0%*	*2.0%*	*2.0%*	*2.0%*	*2.0%*	*(10.4%)*	*2.1%*	*7.9%*	*(9.7%)*	*1.1%*	*2.0%*
YoY $	*(7.7)*	*1.2*	*4.7*	*12.3*	*13.8*	*13.8*	*11.5*	*1.2*	*(3.3)*	*(22.4)*	*(15.6)*	*(12.0)*	*(2.2)*	*2.2*	*2.3*	*3.2*	*2.2*	*2.2*	*2.3*	*3.3*	*(57.5)*	*10.5*	*40.3*	*(53.4)*	*5.5*	*10.0*
QoQ %	*(37%)*	*18%*	*1%*	*43%*	*(33%)*	*16%*	*(1%)*	*32%*	*(36%)*	*(1%)*	*5%*	*39%*	*(32%)*	*3%*	*5%*	*39%*	*(32%)*	*3%*	*5%*	*39%*	—	—	—	—	—	—
QoQ $	(7.7)	1.2	4.7	12.3	13.8	13.8	11.5	1.2	(3.3)	(22.4)	(15.6)	(12.0)	(2.2)	2.2	2.3	3.2	2.2	2.2	2.3	3.3	—	—	—	—	—	—
% of total revenue	*17%*	*19%*	*19%*	*24%*	*18%*	*20%*	*19%*	*23%*	*17%*	*16%*	*16%*	*21%*	*15%*	*16%*	*16%*	*20%*	*15%*	*15%*	*15%*	*19%*	*21%*	*20%*	*20%*	*18%*	*17%*	*16%*
Subscription	**263.4**	**271.7**	**276.9**	**292.2**	**290.6**	**297.9**	**305.4**	**325.1**	**323.2**	**333.1**	**342.0**	**364.4**	**361.7**	**372.0**	**381.4**	**405.6**	**401.8**	**412.6**	**422.2**	**448.2**	**981.2**	**1,104.2**	**1,219.0**	**1,362.7**	**1,520.7**	**1,684.8**
YoY %	*15.4%*	*13.7%*	*11.5%*	*9.9%*	*10.3%*	*9.6%*	*10.3%*	*11.3%*	*11.2%*	*11.8%*	*12.0%*	*12.1%*	*11.9%*	*11.7%*	*11.5%*	*11.3%*	*11.1%*	*10.9%*	*10.7%*	*10.5%*	*14.4%*	*12.5%*	*10.4%*	*11.8%*	*11.6%*	*10.8%*
YoY $	*35.2*	*32.8*	*28.6*	*26.4*	*27.2*	*26.2*	*28.5*	*32.9*	*32.6*	*35.2*	*36.6*	*39.3*	*38.5*	*39.0*	*39.3*	*41.2*	*40.1*	*40.6*	*40.8*	*42.6*	*123.2*	*123.0*	*114.8*	*143.7*	*157.9*	*164.1*
QoQ %	*(1%)*	*3%*	*2%*	*6%*	*(1%)*	*3%*	*3%*	*6%*	*(1%)*	*3%*	*3%*	*7%*	*(1%)*	*3%*	*3%*	*6%*	*(1%)*	*3%*	*2%*	*6%*	—	—	—	—	—	—
QoQ $	35.2	32.8	28.6	26.4	27.2	26.2	28.5	32.9	32.6	35.2	36.6	39.3	38.5	39.0	39.3	41.2	40.1	40.6	40.8	42.6	—	—	—	—	—	—
% of total revenue	*44%*	*43%*	*44%*	*42%*	*46%*	*45%*	*45%*	*44%*	*48%*	*49%*	*49%*	*47%*	*51%*	*52%*	*52%*	*50%*	*54%*	*54%*	*54%*	*52%*	*41%*	*43%*	*45%*	*48%*	*51%*	*53%*
Maintenance	**235.1**	**237.6**	**239.3**	**240.9**	**233.1**	**235.4**	**241.7**	**248.0**	**234.4**	**233.0**	**239.3**	**245.5**	**232.1**	**233.0**	**240.5**	**246.7**	**233.2**	**234.2**	**241.7**	**248.0**	**936.1**	**952.9**	**958.2**	**952.2**	**952.3**	**957.1**
YoY %	*2.2%*	*2.0%*	*2.4%*	*0.6%*	*(0.9%)*	*(0.9%)*	*1.0%*	*2.9%*	*0.6%*	*(1.0%)*	*(1.0%)*	*(1.0%)*	*(1.0%)*	*0.0%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*2.1%*	*1.8%*	*0.6%*	*(0.6%)*	*0.0%*	*0.5%*
YoY $	*5.1*	*4.7*	*5.5*	*1.5*	*(2.0)*	*(2.2)*	*2.4*	*7.1*	*1.3*	*(2.4)*	*(2.4)*	*(2.5)*	*(2.3)*	*0.0*	*1.2*	*1.2*	*1.2*	*1.2*	*1.2*	*1.2*	*19.1*	*16.8*	*5.3*	*(6.0)*	*0.1*	*4.8*
QoQ %	*(2%)*	*1%*	*1%*	*1%*	*(3%)*	*1%*	*3%*	*3%*	*(5%)*	*(1%)*	*3%*	*3%*	*(5%)*	*0%*	*3%*	*3%*	*(5%)*	*0%*	*3%*	*3%*	—	—	—	—	—	—
QoQ $	5.1	4.7	5.5	1.5	(2.0)	(2.2)	2.4	7.1	1.3	(2.4)	(2.4)	(2.5)	(2.3)	0.0	1.2	1.2	1.2	1.2	1.2	1.2	—	—	—	—	—	—
% of total revenue	*39%*	*38%*	*38%*	*34%*	*37%*	*35%*	*36%*	*33%*	*35%*	*34%*	*34%*	*32%*	*33%*	*33%*	*33%*	*30%*	*31%*	*31%*	*31%*	*29%*	*39%*	*37%*	*35%*	*34%*	*32%*	*30%*

	Fiscal 2024				Fiscal 2025				Fiscal 2026				Fiscal 2027				Fiscal 2028									
Billings & Bookings	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26E	Sep-26E	Dec-26E	Mar-27E	Jun-27E	Sep-27E	Dec-27E	Mar-28E	Jun-28E	Sep-28E	Dec-28E	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenue	**599**	**627**	**635**	**704**	**638**	**665**	**678**	**745**	**668**	**676**	**696**	**770**	**702**	**717**	**739**	**815**	**746**	**761**	**783**	**862**	**2,415**	**2,565**	**2,725**	**2,810**	**2,973**	**3,152**
Beginning deferred revenue balance	1,908	1,826	1,818	1,745	2,000	1,915	1,893	1,887	2,180	2,060	2,020	2,019	2,345	2,223	2,181	2,180	2,525	2,396	2,351	2,350	1,878	1,908	2,000	2,180	2,345	2,525
Ending deferred revenue balance	1,826	1,818	1,745	2,000	1,915	1,893	1,887	2,180	2,060	2,020	2,019	2,345	2,223	2,181	2,180	2,525	2,396	2,351	2,350	2,715	1,908	2,000	2,180	2,345	2,525	2,715
Change in deferred revenue	(82)	(8)	(73)	255	(85)	(23)	(6)	294	(121)	(40)	(1)	326	(122)	(42)	(1)	345	(130)	(44)	(1)	365	29.9	92.6	180.1	164.5	180.3	190.1
Total Billings	**517**	**620**	**562**	**959**	**553**	**643**	**672**	**1,039**	**548**	**636**	**695**	**1,096**	**580**	**675**	**738**	**1,161**	**616**	**716**	**782**	**1,228**	**2,445**	**2,658**	**2,906**	**2,974**	**3,154**	**3,342**
YoY %	*7%*	*10%*	*6%*	*11%*	*7%*	*4%*	*20%*	*8%*	*(1%)*	*(1%)*	*4%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*(2%)*	*9%*	*9%*	*2%*	*6%*	*6%*
YoY $	*31.7*	*53.8*	*30.8*	*96.7*	*35.9*	*22.6*	*109.9*	*79.5*	*(5.4)*	*(6.4)*	*23.5*	*57.1*	*32.9*	*38.8*	*42.8*	*64.9*	*35.9*	*41.4*	*44.3*	*67.0*		*213.0*	*247.9*	*68.8*	*179.3*	*188.6*
QoQ %	*(40%)*	*20%*	*(9%)*	*71%*	*(42%)*	*16%*	*5%*	*55%*	*(47%)*	*16%*	*9%*	*58%*	*(47%)*	*16%*	*9%*	*57%*	*(47%)*	*16%*	*9%*	*57%*		—	—	—	—	—
QoQ $	*(345.3)*	*102.9*	*(58.2)*	*397.3*	*(406.1)*	*89.6*	*29.1*	*366.9*	*(491.0)*	*88.6*	*59.0*	*400.5*	*(515.3)*	*94.5*	*63.0*	*422.7*	*(544.3)*	*99.9*	*66.0*	*445.4*	*-140.8*	—	—	—	—	—
Deferred Revenue YoY %	*1.6%*	*2.5%*	*2.1%*	*4.9%*	*4.9%*	*4.1%*	*8.1%*	*9.0%*	*7.5%*	*6.7%*	*7.0%*	*7.5%*	*7.9%*	*8.0%*	*8.0%*	*7.7%*	*7.8%*	*7.8%*	*7.8%*	*7.5%*		*4.9%*	*9.0%*	*7.5%*	*7.7%*	*7.5%*
Revenue	**599**	**627**	**635**	**704**	**638**	**665**	**678**	**745**	**668**	**676**	**696**	**770**	**702**	**717**	**739**	**815**	**746**	**761**	**783**	**862**	**2,415**	**2,565**	**2,725**	**2,810**	**2,973**	**3,152**
Beginning deferred revenue (current) balar	1,414	1,347	1,342	1,270	1,471	1,390	1,353	1,317	1,530	1,430	1,402	1,402	1,628	1,543	1,514	1,513	1,753	1,663	1,632	1,631	1,363	1,414	1,471	1,530	1,628	1,753
Ending deferred revenue (current) balance	1,347	1,342	1,270	1,471	1,390	1,353	1,317	1,530	1,430	1,402	1,402	1,628	1,543	1,514	1,513	1,753	1,663	1,632	1,631	1,885	1,414	1,471	1,530	1,628	1,753	1,885
Change in deferred revenue (current)	(66.8)	(5.1)	(71.7)	201.1	(81.5)	(37.1)	(35.4)	212.8	(100.4)	(27.4)	(0.7)	226.2	(84.7)	(29.1)	(0.7)	239.6	(89.9)	(30.9)	(0.8)	253.5	50.4	57.5	58.8	97.7	125.2	131.9
Current Billings	**532**	**622**	**563**	**905**	**556**	**628**	**642**	**958**	**568**	**648**	**695**	**996**	**618**	**688**	**738**	**1,055**	**656**	**730**	**782**	**1,116**	**2,465**	**2,623**	**2,784**	**2,908**	**3,098**	**3,284**
YoY %	*3%*	*7%*	*5%*	*9%*	*5%*	*1%*	*14%*	*6%*	*2%*	*3%*	*8%*	*4%*	*9%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*1%*	*6%*	*6%*	*4%*	*7%*	*6%*
YoY $	*14.1*	*41.5*	*28.0*	*73.8*	*24.3*	*5.8*	*78.7*	*52.9*	*11.7*	*20.1*	*53.3*	*38.3*	*49.6*	*39.5*	*42.8*	*59.0*	*38.2*	*42.2*	*44.3*	*60.9*		*157.4*	*161.7*	*123.3*	*190.9*	*185.6*
QoQ %	*(36%)*	*17%*	*(9%)*	*61%*	*(39%)*	*13%*	*2%*	*49%*	*(41%)*	*14%*	*7%*	*43%*	*(38%)*	*11%*	*7%*	*43%*	*(38%)*	*11%*	*7%*	*43%*		—	—	—	—	—
QoQ $	*(299.0)*	*90.3*	*(58.9)*	*341.4*	*(348.5)*	*71.8*	*14.0*	*315.6*	*(389.7)*	*80.2*	*47.3*	*300.6*	*(378.3)*	*70.0*	*50.5*	*316.8*	*(399.1)*	*73.9*	*52.7*	*333.4*	*-55.6*	—	—	—	—	—
Current Deferred Revenue YoY (%)	*2.4%*	*2.7%*	*1.9%*	*4.1%*	*3.2%*	*0.8%*	*3.7%*	*4.0%*	*2.9%*	*3.7%*	*6.4%*	*6.4%*	*7.9%*	*8.0%*	*8.0%*	*7.7%*	*7.8%*	*7.8%*	*7.8%*	*7.5%*		*4.1%*	*4.0%*	*6.4%*	*7.7%*	*7.5%*
RPO	**2,179**	**2,251**	**2,194**	**2,516**	**2,424**	**2,386**	**2,400**	**2,728**	**2,592**												**2,249.0**	**2,516.0**	**2,728.0**			
YoY %	*6%*	*10%*		*12%*	*11%*	*6%*	*9%*	*8%*	*7%*												*5%*	*12%*	*8%*			
Current RPO																					**1,502.7**					
YoY %																					*5%*					
Current RPO - % of total																					*67%*					
Backlog (RPO - Deferred Rev)	**832**	**909**	**924**	**1,045**	**1,034**	**1,033**	**1,083**	**1,198**	**1,162**												**835.2**	**1,044.7**	**1,197.9**			
YoY %		*23%*		*25%*	*24%*	*14%*	*17%*	*15%*	*12%*												*7%*	*25%*	*15%*			
Bookings																										
total revenue																					**2,414.7**					
+ change in RPO																					65.4					
Total CRPO Bookings																					**2,480.1**					
YoY %																					*3%*					

Source: Company data, FactSet, Wells Fargo Securities, LLC estimates

Check Point Software
Income Statement

($ in millions, unless otherwise stated)	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26E	Sep-26E	Dec-26E	Mar-27E	Jun-27E	Sep-27E	Dec-27E	Mar-28E	Jun-28E	Sep-28E	Dec-28E	FY24	FY25	FY26E	FY27E	FY28E
	Fiscal 2024				Fiscal 2025				Fiscal 2026				Fiscal 2027				Fiscal 2028								
Revenue																									
Product and License	100.3	118.1	118.9	170.6	114.1	131.9	130.4	171.8	110.8	109.5	114.8	159.8	108.6	111.7	117.0	163.0	110.8	113.9	119.4	166.2	507.9	548.2	494.8	500.3	510.3
Subscription	263.4	271.7	276.9	292.2	290.6	297.9	305.4	325.1	323.2	333.1	342.0	364.4	361.7	372.0	381.4	405.6	401.8	412.6	422.2	448.2	1,104.2	1,219.0	1,362.7	1,520.7	1,684.8
Maintenance	235.1	237.6	239.3	240.9	233.1	235.4	241.7	248.0	234.4	233.0	239.3	245.5	232.1	233.0	240.5	246.7	233.2	234.2	241.7	248.0	952.9	958.2	952.2	952.3	957.1
Total revenue	**598.8**	**627.4**	**635.1**	**703.7**	**637.8**	**665.2**	**677.5**	**744.9**	**668.4**	**675.6**	**696.1**	**769.7**	**702.3**	**716.7**	**738.9**	**815.3**	**745.8**	**760.7**	**783.3**	**862.4**	**2,565.0**	**2,725.4**	**2,809.8**	**2,973.3**	**3,152.1**
Management Guidance - Revenue																									
Low	575.0	607.0	615.0	675.0	619.0	642.0	657.0	724.0	655.0	660.0											2,536.0	2,705.0	2,770.0		
Mid	592.5	622.0	632.5	695.0	634.0	662.0	672.0	744.0	670.0	675.0											2,556.0	2,725.0	2,810.0		
High	610.0	637.0	650.0	715.0	649.0	682.0	687.0	764.0	685.0	690.0											2,576.0	2,745.0	2,850.0		
Cost of Revenue																									
Cost of Product and License	19.8	23.9	24.2	29.5	22.9	26.1	24.5	31.7	27.3	21.9	21.8	30.4	26.8	22.3	22.2	31.0	27.3	22.8	22.7	31.6	97.4	105.2	101.4	102.3	104.3
Cost of Subscription	16.5	16.8	19.6	19.7	21.4	23.0	22.7	23.8	23.9	24.6	25.3	26.9	26.7	27.5	28.2	30.0	29.7	30.5	31.2	33.1	72.6	90.9	100.8	112.5	124.6
Cost of Maintenance	26.5	29.4	28.4	31.4	30.0	31.0	28.5	29.6	31.9	31.7	32.6	33.4	31.6	31.7	32.7	33.6	31.7	31.9	32.9	33.7	115.7	119.1	129.6	129.6	130.3
Amortization of technology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total cost of revenue	**62.8**	**70.1**	**72.2**	**80.6**	**74.3**	**80.1**	**75.7**	**85.1**	**83.1**	**78.2**	**79.7**	**90.7**	**85.1**	**81.6**	**83.2**	**94.5**	**88.7**	**85.2**	**86.8**	**98.5**	**285.7**	**315.2**	**331.7**	**344.3**	**359.2**
Gross profit	**536.0**	**557.3**	**562.9**	**623.1**	**563.5**	**585.1**	**601.8**	**659.8**	**585.3**	**597.3**	**616.4**	**679.0**	**617.2**	**635.2**	**655.7**	**720.8**	**657.0**	**675.5**	**696.5**	**763.9**	**2,279.3**	**2,410.2**	**2,478.1**	**2,628.9**	**2,793.0**
Operating expenses																									
Research and development	82.9	81.9	81.9	88.6	85.9	93.8	94.3	101.8	80.6	84.4	87.0	96.2	84.7	89.6	92.4	101.9	89.9	95.1	97.9	107.8	335.3	375.8	348.3	368.6	390.7
Sales and marketing	181.2	191.7	184.4	207.1	198.0	197.6	200.7	230.8	217.0	222.9	215.8	246.3	228.0	236.5	229.1	260.9	242.1	251.0	242.8	276.0	764.4	827.1	902.0	954.5	1,011.9
General and administrative	19.9	18.6	22.6	21.0	21.0	22.6	24.9	24.9	23.1	23.3	24.6	26.9	24.3	24.8	26.1	28.5	25.8	26.3	27.6	30.2	82.1	93.4	98.0	103.7	109.9
Total operating expenses	**284.0**	**292.2**	**288.9**	**316.7**	**304.9**	**314.0**	**319.9**	**357.5**	**320.7**	**330.7**	**327.4**	**369.5**	**337.0**	**350.9**	**347.5**	**391.4**	**357.8**	**372.4**	**368.4**	**414.0**	**1,181.8**	**1,296.3**	**1,348.3**	**1,426.7**	**1,512.6**
Operating income	**252.0**	**265.1**	**274.0**	**306.4**	**258.6**	**271.1**	**281.9**	**302.3**	**264.6**	**266.6**	**289.1**	**309.5**	**280.3**	**284.3**	**308.2**	**329.4**	**299.2**	**303.1**	**328.1**	**350.0**	**1,097.5**	**1,113.9**	**1,129.8**	**1,202.2**	**1,280.4**
Financial income, net	22.6	23.7	25.3	24.5	27.3	28.5	28.7	29.5	40.8	40.9	41.0	41.1	41.2	41.3	41.4	41.5	41.6	41.7	41.8	41.9	96.1	114.0	163.8	165.4	167.0
Pre-tax income	**274.6**	**288.8**	**299.3**	**330.9**	**285.9**	**299.6**	**310.6**	**331.8**	**305.4**	**307.5**	**330.1**	**350.6**	**321.5**	**325.6**	**349.6**	**370.9**	**340.8**	**344.8**	**369.9**	**391.9**	**1,193.6**	**1,227.9**	**1,293.6**	**1,367.6**	**1,447.4**
Provision for (benefit from) income taxes	40.1	42.8	43.9	27.7	39.7	38.2	(120.8)	(36.4)	40.1	50.7	54.5	57.9	42.2	53.7	57.7	61.2	44.7	56.9	61.0	64.7	154.5	(79.3)	203.2	214.8	227.3
Adjusted tax rate (non-GAAP)	15%	15%	15%	8%	14%	13%	-39%	-11%	13%	17%	17%	17%	13%	17%	17%	17%	13%	17%	17%	17%	13%	-6%	16%	16%	16%
Non-GAAP Net income	**234.5**	**246.0**	**255.4**	**303.2**	**246.2**	**261.4**	**431.4**	**368.2**	**265.3**	**256.8**	**275.6**	**292.8**	**279.2**	**271.9**	**291.9**	**309.7**	**296.1**	**287.9**	**308.9**	**327.2**	**1,039.1**	**1,307.2**	**1,090.4**	**1,152.8**	**1,220.1**
Non-GAAP EPS	**$2.04**	**$2.17**	**$2.25**	**$2.70**	**$2.21**	**$2.37**	**$3.94**	**$3.40**	**$2.50**	**$2.44**	**$2.65**	**$2.84**	**$2.74**	**$2.69**	**$2.92**	**$3.13**	**$3.02**	**$2.97**	**$3.21**	**$3.44**	**$9.15**	**$11.89**	**$10.43**	**$11.47**	**$12.64**
Management Guidance - EPS																									
Low	$1.95	$2.10	$2.19	$2.60	$2.13	$2.32	$2.40	$2.70	$2.35	$2.40											$9.05	$11.22	$10.05		
Mid	$2.00	$2.15	$2.24	$2.65	$2.18	$2.37	$2.45	$2.75	$2.40	$2.45											$9.10	$11.27	$10.45		
High	$2.05	$2.20	$2.29	$2.70	$2.23	$2.42	$2.50	$2.80	$2.45	$2.50											$9.15	$11.32	$10.85		
Basic shares outstanding	112.3	111.1	110.5	109.2	107.9	107.1	107.4	106.7	104.7	103.7	102.7	101.7	100.7	99.7	98.7	97.7	96.7	95.7	94.7	93.7	110.8	107.3	106.5	99.2	95.2
Diluted shares outstanding	115.2	113.6	113.4	112.1	111.4	110.4	109.5	108.4	106.1	105.1	104.1	103.1	102.1	101.1	100.1	99.1	98.1	97.1	96.1	95.1	113.6	109.9	108.6	100.6	96.6

Non-GAAP Reconciliation to GAAP Results	Fiscal 2024				Fiscal 2025				Fiscal 2026				Fiscal 2027				Fiscal 2028								
Adjustments																									
Share-based compensation	**41.6**	**39.3**	**39.0**	**29.8**	**41.2**	**45.9**	**62.1**	**56.4**	**59.8**	**60.8**	**48.7**	**53.9**	**56.2**	**57.3**	**59.1**	**65.2**	**59.7**	**60.9**	**62.7**	**69.0**	**149.7**	**205.6**	**223.2**	**237.9**	**252.2**
Cost of revenue	2.3	2.3	1.9	2.1	2.2	3.3	4.5	4.1	4.1	4.2	3.3	3.7	3.9	3.9	4.1	4.5	4.1	4.2	4.3	4.7	8.6	14.1	15.3	16.3	17.3
OpEx	39.3	37.0	37.1	27.7	39.0	42.6	57.6	52.3	55.7	56.6	45.4	50.2	52.3	53.4	55.1	60.8	55.6	56.7	58.4	64.3	141.1	191.5	207.9	221.6	234.9
Amortization of acquired intangible assets	**16.5**	**16.5**	**16.5**	**22.3**	**21.9**	**21.9**	**20.7**	**13.0**	**19.7**	**19.7**	**24.2**	**24.2**	**19.7**	**19.7**	**19.7**	**19.7**	**19.7**	**19.7**	**19.7**	**19.7**	**71.8**	**77.5**	**87.8**	**78.8**	**78.8**
Cost of revenue	5.8	5.8	5.8	7.6	7.6	7.8	8.3	8.8	10.5	10.5	15.0	15.0	15.0	15.0	15.0	15.0	15.0	15.0	15.0	15.0	25.0	32.5	51.0	60.0	60.0
OpEx	16.5	16.5	16.5	22.3	21.9	21.6	20.7	13.0	19.7	19.7	24.2	24.2	24.2	24.2	24.2	24.2	24.2	24.2	24.2	24.2	71.8	77.2	87.8	96.8	96.8
GAAP Gross Profit	527.9	549.2	555.2	613.4	553.7	574.0	589.0	646.9	570.7	582.7	598.1	660.3	598.4	616.2	636.7	701.3	637.9	656.3	677.2	744.2	2,245.7	2,363.6	2,411.8	2,552.6	2,715.7
GAAP Operating Income	193.9	209.3	218.5	254.3	195.5	203.3	199.1	232.9	185.1	186.1	216.1	231.5	204.4	207.3	229.4	244.5	219.8	222.6	245.7	261.3	876.0	830.8	818.8	885.6	949.4
GAAP Net income	183.9	197.4	206.9	257.5	190.9	202.5	358.7	304.5	191.6	185.2	212.8	215.4	209.2	203.7	217.1	228.8	222.5	216.3	230.5	242.5	845.7	1,056.6	804.9	858.8	911.8
GAAP EPS	**$1.60**	**$1.74**	**$1.82**	**$2.30**	**$1.71**	**$1.83**	**$3.28**	**$2.81**	**$1.81**	**$1.76**	**$2.04**	**$2.09**	**$2.05**	**$2.02**	**$2.17**	**$2.31**	**$2.27**	**$2.23**	**$2.40**	**$2.55**	**$7.45**	**$9.61**	**$7.70**	**$8.54**	**$9.44**
Management Guidance - GAAP EPS																									
Low	$1.51	$1.66	$1.76	$2.15	$1.63	$1.77	$1.72	$2.11	$1.71	$1.70											$7.30	$8.94	$7.30		
Mid	$1.56	$1.71	$1.81	$2.20	$1.68	$1.82	$1.77	$2.16	$1.76	$1.75											$7.35	$8.99	$7.70		
High	$1.61	$1.76	$1.86	$2.25	$1.73	$1.87	$1.82	$2.21	$1.81	$1.80											$7.40	$9.04	$8.10		
Basic shares outstanding	112.3	111.1	110.5	109.2	107.9	107.1	107.4	106.7	104.7	103.7	102.7	101.7	100.7	99.7	98.7	97.7	96.7	95.7	94.7	93.7	110.8	107.3	106.5	99.2	95.2
Diluted shares outstanding	115.2	113.6	113.4	112.1	111.4	110.4	109.5	108.4	106.1	105.1	104.1	103.1	102.1	101.1	100.1	99.1	98.1	97.1	96.1	95.1	113.6	109.9	108.6	100.6	96.6

Margin Analysis	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26E	Sep-26E	Dec-26E	Mar-27E	Jun-27E	Sep-27E	Dec-27E	Mar-28E	Jun-28E	Sep-28E	Dec-28E	FY24	FY25	FY26E	FY27E	FY28E
Product gross margin	80.3%	79.8%	79.6%	82.7%	79.9%	80.2%	81.2%	81.5%	75.4%	80.0%	81.0%	81.0%	75.4%	80.0%	81.0%	81.0%	75.4%	80.0%	81.0%	81.0%	80.8%	80.8%	79.5%	79.6%	79.6%
Subscription gross margin	93.7%	93.8%	92.9%	93.3%	92.6%	92.3%	92.6%	92.7%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	92.6%	93.4%	92.5%	92.6%	92.6%	92.6%
Maintenance gross margin	88.7%	87.6%	88.1%	87.0%	87.1%	86.8%	88.2%	88.1%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	86.4%	87.9%	87.6%	86.4%	86.4%	86.4%
Total Gross Margin	**89.5%**	**88.8%**	**88.6%**	**88.5%**	**88.4%**	**88.0%**	**88.8%**	**88.6%**	**87.6%**	**88.4%**	**88.6%**	**88.2%**	**87.9%**	**88.6%**	**88.7%**	**88.4%**	**88.1%**	**88.8%**	**88.9%**	**88.6%**	**88.9%**	**88.4%**	**88.2%**	**88.4%**	**88.6%**
Research and development expenses	13.8%	13.1%	12.9%	12.6%	13.5%	14.1%	13.9%	13.7%	12.1%	12.5%	12.5%	12.5%	12.1%	12.5%	12.5%	12.5%	12.1%	12.5%	12.5%	12.5%	13.1%	13.8%	12.4%	12.4%	12.4%
Sales and marketing expenses	30.3%	30.6%	29.0%	29.4%	31.0%	29.7%	29.6%	31.0%	32.5%	33.0%	31.0%	32.0%	32.5%	33.0%	31.0%	32.0%	32.5%	33.0%	31.0%	32.0%	29.8%	30.3%	32.1%	32.1%	32.1%
General and administrative expenses	3.3%	3.0%	3.6%	3.0%	3.3%	3.4%	3.7%	3.3%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.2%	3.4%	3.5%	3.5%	3.5%
Total operating expenses	47.4%	46.6%	45.5%	45.0%	47.8%	47.2%	47.2%	48.0%	48.0%	49.0%	47.0%	48.0%	48.0%	49.0%	47.0%	48.0%	48.0%	49.0%	47.0%	48.0%	46.1%	47.6%	48.0%	48.0%	48.0%
Operating margin	**42.1%**	**42.3%**	**43.1%**	**43.5%**	**40.5%**	**40.8%**	**41.6%**	**40.6%**	**39.6%**	**39.5%**	**41.5%**	**40.2%**	**39.9%**	**39.7%**	**41.7%**	**40.4%**	**40.1%**	**39.8%**	**41.9%**	**40.6%**	**42.8%**	**40.9%**	**40.2%**	**40.4%**	**40.6%**
Net income	39.2%	39.2%	40.2%	43.1%	38.6%	39.3%	63.7%	49.4%	39.7%	38.0%	39.6%	38.0%	39.8%	37.9%	39.5%	38.0%	39.7%	37.9%	39.4%	37.9%	40.5%	48.0%	38.8%	38.8%	38.7%

Source: Company data, FactSet, Wells Fargo Securities, LLC estimates

Investment Thesis, Valuation and Risks

Check Point Software Technologies Ltd. (CHKP)

Investment Thesis

Check Point is a storied cybersecurity franchise at a genuine pot'l inflection point, trying something it hasn't done in a long time—prioritizing growth > margins. However, cultural change bears execution risk and takes time. We rate shares Equal Weight.
Key Points include: 1) Quantum refresh could prove a temporary catalyst, and 2) placing more focused bets beyond firewall, which is paying off.

Target Price Valuation for CHKP

- Our price target of $140 is based on an EV/FCF multiple of ~11x our Fwd NTM estimates.
- Our target multiple is below the peer group average of the high-teens, which we believe is justified as we put more weight on lower revenue growth assumptions and impacts to FCF expansion.

Risks to Our Price Target and Rating for CHKP

Downside risks:

- Shift in spend to cloud-delivered network security from traditional firewall network security.
- Improving execution from leadership changes proves elusive.

Upside risks:

- Better-than-expected growth from refresh cycle.
- Margin expansion that drives multiple expansion.
- AI threat surface raising terminal multiples in cybersecurity.

Companies Mentioned in Report

Company Name	Ticker	Last Price (07/21/26)
Check Point Software Technologies Ltd.	CHKP	$130.46

Source: Wells Fargo Securities LLC Estimates, FactSet

Required Disclosures

I, Richard Poland, certify that:
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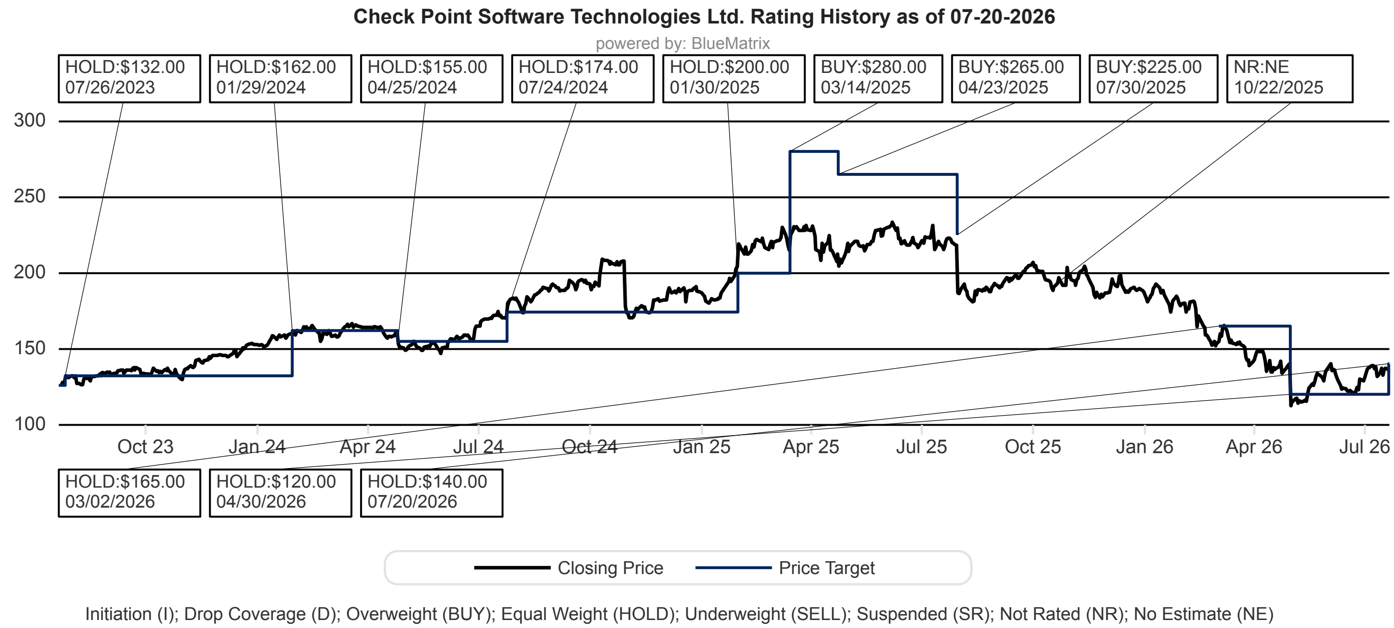

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EW=Equal Weight: Total return on stock expected to be -10% to +10% over the next 12 months. (HOLD)

UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

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